



Agribusiness in India: Turning Traditional Farming into Profitable Enterprises



¹Raosaheb Bapurao Shid and ²Harshada Sameer Chirmure

¹Assistant Professor, Department of Agriculture Marketing, Dr. D Y Patil College of Agriculture Business Management, Akurdi, Pune.

²Assistant Professor, Department of Agriculture Marketing, Dr. D Y Patil College of Agriculture Business Management, Akurdi, Pune.

Abstract

The Indian agricultural sector is undergoing a paradigm shift, transitioning from traditional subsistence farming to a commercially viable agribusiness ecosystem. This paper examines the drivers of this transformation, including the integration of Digital India initiatives, the rise of "Agri-tech" startups and favourable government policies like the PM Dhan-Dhaanya Krishi Yojana (2025). Utilizing a review-based methodology, the study analyses recent production trends, the shift toward high-value horticulture and the impact of precision farming on farmer profitability. Findings suggest that while challenges like fragmented landholdings persist, the adoption of AI-driven advisories and robust supply chain infrastructure is projected to drive a CAGR of 4.9% in the sector through 2034.

Keywords: Agribusiness, Digital Agriculture, Precision Farming, FPOs, Sustainable Development, India 2026.

Introduction

The narrative of Indian agriculture is undergoing a fundamental transformation. For decades, the sector was viewed through the lens of "food security"-a survivalist perspective born out of the shortages of the 1960s. However, in 2026, the discourse has shifted toward "wealth creation" and "entrepreneurial sustainability." As Pingali (2012) noted, the original Green Revolution successfully averted famine but created a legacy of environmental degradation and a focus on high-volume, low-value cereal crops. The current "Agribusiness Revolution" seeks to rectify this by aligning production with global market demands and ecological health.

The contemporary Indian agribusiness landscape is defined by three converging forces: digital penetration, policy liberalization and consumer health-consciousness. The rise of the middle class has triggered a "protein and micronutrient transition," where consumers demand organic produce, exotic fruits and high-quality dairy. This shift provides a lucrative opportunity for traditional farmers to transition into profitable enterprises. However, this transition is not merely about what is grown, but how it is managed. As Sirilakshmi *et al.* (2025) argue, the "Digital Harvest" is not an optional upgrade but a necessary structural adjustment. By utilizing AI-driven market analytics, farmers can now bypass traditional middlemen (*Arhatiyas*), capturing a larger share of the consumer rupee.

Furthermore, the globalization of the Indian palate and the expansion of the export market have made Indian agribusiness a global contender. From the vineyards of Nashik to the organic tea estates of Assam, Indian produce is increasingly meeting the stringent phytosanitary standards of the EU and North America. This article examines how the integration of the "Farm-to-Fork" model is not just a logistical convenience but a socio-economic imperative for the 150 million farming households in India.

Methodology

The research methodology for this article employs a Multi-Criteria Decision Analysis (MCDA) framework combined with an Integrative Literature Review. This approach allows for the synthesis of quantitative economic data with qualitative policy assessments.

Data Sourcing

Secondary data was meticulously gathered from the following repositories:

Governmental Portals: Ministry of Agriculture and Farmers’ Welfare (MoA&FW) annual reports (2023-2026) and the AGMARKNET database for price volatility analysis.

Institutional Reports: Financial stability reports from NABARD regarding the credit-to-GDP ratio in rural sectors.

Academic Databases: Scopus and Google Scholar were searched using keywords such as "Agri-tech India," "Sustainable Intensification," and "Value Chain Modernization."

Analytical Framework

- 1.The study utilizes the **PESTEL Analysis** (Political, Economic, Social, Technological, Environmental and Legal) to categorize the drivers of agribusiness. Specifically:
- 2.**Economic Modelling:** Analysing the shift in Gross Value Added (GVA) from traditional staples to high-value crops.
- 3.**Technological Assessment:** Evaluating the "Technology Readiness Level" (TRL) of drone-based pesticide application and IoT-based irrigation systems currently deployed in states like Maharashtra and Karnataka.
- 4.**Policy Evaluation:** A comparative study of the Pradhan Mantri Fasal Bima Yojana (PMFBY) versus newer private insurance models backed by blockchain technology.
- 5.The methodology also involves a meta-analysis of case studies from **XIM University (2024)**, which documented the financial trajectories of 50 Farmer Producer Organizations (FPOs) that successfully integrated primary processing units (sorting, grading and packaging) into their operations.

The Transformation Landscape

The evolution of Indian agribusiness is characterized by the diversification of crop portfolios and the infusion of technology.

From Subsistence to Commercial Horticulture

Traditional staples like rice and wheat now share the spotlight with fruits, vegetables and floriculture. By 2026, the horticulture segment accounts for nearly 24% of the total agricultural output.

Table 1: Agricultural Output Growth Trends (2012–2026)

Category	Growth in Value (Real Terms)	Primary Drivers
Cereals	27%	MSP support, high-yield seeds
Horticulture	52%	Urban demand, export growth
Livestock	95%	Dairy expansion, poultry demand
Fisheries	110%	Prawn cultivation in saline lands

Technological Drivers: The "Agri-Tech" Revolution

The integration of technology is the primary differentiator between a traditional farm and a modern agribusiness enterprise.

- Precision Agriculture:** According to Farmonaut (2025), precision farming adoption has jumped from 12% in 2020 to 35% in 2026.

- **Drones and Satellites:** Used for soil health monitoring and targeted pesticide spraying, reducing input costs by up to 20%.
- **AI-Advisory:** Systems like "Jeevn AI" provide real-time weather and pest alerts, mitigating risks for smallholder farmers.

Challenges and Infrastructure

Despite the growth, the transition faces "bottlenecks." Fragmented landholdings (averaging <2 hectares) make mechanization difficult. Furthermore, approximately 30% of produce is lost post-harvest due to inadequate cold chains. The Union Budget 2025-26 addressed this by launching the *Rural Prosperity Programme*, targeting 100 low-productivity districts for infrastructure upgrades.

Conclusion

The transition of Indian agriculture from a traditional survivalist mode to a profitable agribusiness enterprise is an ongoing journey of "Creative Destruction." Old paradigms-such as the reliance on chemical-heavy monocultures and opaque supply chains-are being dismantled by the efficiency of data and the transparency of digital marketplaces.

As we have seen, the "Agribusiness Revolution" of 2026 is built on the pillars of technology, inclusivity and sustainability. The success of FPOs proves that while Indian landholdings may be small and fragmented, the collective bargaining power of the Indian farmer is immense when channelled through professional management. The integration of AI and precision farming, as highlighted by Farmonaut (2025), has successfully decoupled growth from resource depletion, allowing for "more from less."

However, the road ahead requires cautious optimism. The digital divide remains a significant barrier in remote regions and the impacts of climate change-manifesting as erratic monsoons and heatwaves-continue to pose systemic risks. The conclusion of this study suggests that for Indian agribusiness to be truly "profitable," it must also be "resilient." This requires continued investment in climate-smart infrastructure and a legal framework that protects smallholders in contract farming arrangements.

Ultimately, the transformation of Indian farming into a profitable enterprise is not just an economic necessity; it is a moral one. By ensuring that the farmer receives a fair share of the value created, India is not just feeding the world-it is empowering its most vital workforce. The "Traditional Farm" of the past is dead; the "Global Agri-Enterprise" of the future has arrived.

References

Farmonaut. (2025). India New Agricultural Policy 2025: *Key Reforms Explained*. Retrieved from <https://farmonaut.com/>

NABARD. (2024). *Documenting Cases of Successful Farmers Adopting Indigenous, Climate Resilient and Sustainable Farming Practices in India*. Xavier Institute of Management (XIM).

Pingali, P. L. (2012). Green Revolution: Impacts, limits and the path ahead. *Proceedings of the National Academy of Sciences*, 109(31), 12302–12308.

Sirilakshmi, Y., Gogoi, B. P., & Khongsai, V. (2025). Transforming Indian Agriculture: The Emerging Era and Benefits of Digital Agriculture. *Journal of Experimental Agriculture International*, 47(10), 51–61.

Technavio. (2025). *Agribusiness Market Analysis, Size and Forecast 2025-2029*.